SOVEREIGN RISK NOTE

Trinidad and Tobago Debt-to-GDP Trend Report

Current position, five-year trend continuation, and why U.S. bonds look stronger on a risk-adjusted basis

Date	Prepared for	Source base
April 3, 2026		March 2026 Economic DataPack and current official sources

Executive summary

• General government debt rose from 82.6% of GDP in 2024 to 86.2% in 2025 on the headline series in the March 2026 Economic DataPack.

• If recent deterioration continues, the debt ratio trends toward roughly 93.7% to 98.0% of GDP by 2030 under simple continuation cases.

• The main risks are persistent fiscal deficits, soft non-energy growth, FX shortages, and heavy dependence on energy prices and production.

• For a conservative USD investor, U.S. Treasuries currently offer a better risk-adjusted profile than Trinidad sovereign debt.

1. Current debt position

Using the March 2026 Economic DataPack, the headline general government debt ratio was 82.9% of GDP in 2023, 82.6% in 2024, and 86.2% in 2025. On the adjusted basis that strips out sterilization debt, the ratio was 80.2% in 2023, 81.2% in 2024, and 84.4% in 2025.

This places Trinidad and Tobago in a high-debt zone already. The current direction is more consistent with a country trying to stabilize debt than one that has already placed it on a firm downward path.

Debt-to-GDP snapshot

Measure	2024	2025
Headline general government debt / GDP	82.6%	86.2%
Adjusted debt / GDP	81.2%	84.4%
Direction	Broadly flat	Worse

2. Five-year continuation scenarios

The table below is not an official forecast. It simply asks what happens if the recent debt trend keeps running. The first path uses a milder three-year continuation, and the second uses a stronger five-year continuation.

Year	3-year trend continuation	5-year trend continuation
2025 actual	86.2%	86.2%
2026	87.2%	88.4%
2027	88.8%	90.8%
2028	90.4%	93.2%
2029	92.1%	95.6%
2030	93.7%	98.0%

Interpretation: if the current pattern is not arrested, Trinidad drifts into the low-to-high 90s debt-to-GDP range by 2030. That would not automatically mean crisis, but it would leave the sovereign much more exposed to energy-price weakness, refinancing stress, and policy errors.

3. Why U.S. bonds look stronger than Trinidad bonds today

The debt trend is worse in Trinidad. Trinidad is already in the mid-80s debt-to-GDP range, whereas U.S. Treasuries are not exposed to Trinidad-specific sovereign deterioration or local policy execution risk.

The yield pickup is not large enough for the added sovereign risk. The U.S. 10-year Treasury yielded 4.31% on April 2, 2026, while Trinidad's January 2026 USD bond priced at about 241 basis points above Treasuries. That spread does not look generous enough given Trinidad's debt, FX, and commodity dependence.

FX and convertibility risk remain live in Trinidad. The IMF still describes persistent FX shortages that require regular official FX sales. A hard-currency investor therefore faces a much less frictionless market than the Treasury market.

Trinidad remains heavily exposed to energy prices and production. Even if the Iran war supports oil in the near term, the sovereign still depends heavily on energy-linked revenues and production outcomes. U.S. Treasuries do not carry that same commodity sensitivity.

4. Investment conclusion

For a conservative USD-based investor whose priorities are liquidity, capital preservation, and lower sovereign risk, U.S. Treasuries currently look superior to Trinidad sovereign bonds. Trinidad debt is not uninvestable, but the present debt trend, negative rating pressure, FX friction, and energy dependence mean it does not look like the better risk-adjusted choice today.

5. Key watchpoints over the next 12 months

- Whether the debt ratio stabilizes around the mid-80s or resumes climbing toward the 90s.

- Whether the fiscal deficit narrows meaningfully from current IMF estimates.
- Whether FX shortages ease or intensify.
- Whether high oil prices are matched by solid gas realizations and improved production volumes.
- Whether sovereign spreads and ratings outlooks improve or worsen.

Source base

This report uses the user-provided March 2026 Trinidad and Tobago Economic DataPack together with current official and market sources referenced in prior analysis: IMF 2026 Article IV mission statement, Ministry of Finance FY2026 Budget Statement, Ministry of Finance Review of the Economy 2025, and U.S. Treasury daily yield curve data for April 2, 2026.

This report is informational and does not constitute personalized investment advice.